

Those who are looking at basic access to the Internet will choose netbooks over the normal PCs

—Sameer Gadre, country manager, Dell India



Indian market still holds promise because of the potential 'scale' or volume of electronics consumption. The growing demand for better energy management, better healthcare and energy conservation will increase adoption and growth in the market despite the downturn.

With the need for improved healthcare monitoring, the market size of global medical electronic instruments is growing. In India, innovations in healthcare and medical diagnostics are set to take off due to ageing populations globally and the need for affordable healthcare. There is an increasing demand for medical electronic products that will translate into opportunities in biometrics, blood-pressure monitoring, blood analysis and other remote technologies as well as geriatric telemedicine.

That apart, there looms the need for energy conservation and preserving our environment for future generations. The bottom of the pyramid is a great market opportunity for companies. R&D centres of semiconductor companies are addressing low-cost design needs of the rural market and providing end-to-end designs for these markets. In India,

the opportunities lie within telecom, automotive, solar/PV sector, industrial and consumer sectors. Freescale, for instance, provides chips to Innov-lite—a company that designs solar powered LED light.

According to industry estimates, India's electronic equipment consumption in 2005 was 1.8 per cent. This is likely to grow to 5.5 per cent in 2010. Similarly, India's semiconductor total available market (TAM) revenues are projected to grow by 2.5 times, while the total market is expected to double its revenues in 2009, according to a study conducted by the ISA and Frost & Sullivan. Major end-user products include mobile handsets, desktop and notebook PCs, and set-top boxes.

The industry will continue its growth march in future but the growth will come from newer technology products that offer improved performance at affordable prices.

Turning to imaging products, according to IDC, India is one of the world's largest growing markets for digital cameras. Canon's sales results support this fact. The company has registered a growth of over 35 per cent in 2008. Sales of camera products have

grown over 40 per cent. Growth of digital SLR category has been noteworthy, which is over 70 per cent.

Shunichi Senda, director-ICP, Canon India, expects a large growth of the consumer durable segment to be driven by digital imaging products. More than 75 per cent of all cameras that are sold today are digital and digital images are expected to account for 90 per cent of all professionally taken photographs by 2010.

Talking of computing segment, netbooks will make their presence felt and those who are looking at basic access to the Internet will choose them over the normal PCs. Sameer Gadre, country manager, Dell India, says that longer battery life and less energy usage will also be important factors which people will want to consider. The way the small form factor machines will be used will also differ, and people will want performance as well as personalisation.

Words of advice

To boost the growth, Kaura suggests reduction of sales tax from 12.5 per cent at present to 4 per cent. The rural market has not really been affected by the slowdown, and the TV manufacturing companies can arrest the downturn if they shift the focus to rural markets. They can look at creating more hubs for rural distribution and make it more efficient.

Keskar suggests that India should now focus on designing and manufacturing global products and then reach out to other emerging markets. This, to a large extent, has already started. India should also leverage its strengths in software to build high-complexity, medium-volume products for the developed markets.

The demand for appliances and energy-efficient consumer electronics is huge and can be explored. Also, the Indian industry should focus on inventing products that matter to rural and bottom-of-the-pyramid segments. ●

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